

Question:
A distributor agrees to sell 100 tubes of growth hormone to a medical treatment center in exchange for \$30,000. The contract has many clauses, including one that prohibits generally the assignment of the contract or any of its terms. The distributor assigns its right to receive the funds anyway. Will a court enforce the bar against assignment under these circumstances?

Answer Choices:

A. No, a bar of assignment does not apply to the right to receive the funds unless specifically stated.
B. Yes, unless the contract explicitly states that the bar of assignment does not apply to the right to receive funds.
C. No, a bar of assignment can only be enforced if it is notarized and legally binding.
D. Yes, a bar against the right to receive proceeds is a favored restriction unless otherwise stated.
E. Yes, a contractual provision prohibiting assignments is enforceable in all respects.
F. Yes, a bar of assignment applies to all aspects of the contract, including the right to receive funds.
G. No, a bar of assignment is an unconstitutional deprivation of due process.
H. No, a bar of assignment is unenforceable if it inhibits the completion of the contract.
I. No, a court will not enforce the bar against assignment as it infringes upon the distributor's right to do business.
J. Yes, a contractual provision prohibiting assignments is enforceable unless it contradicts federal law.

Reasoning + Answer:

< reasoning process here >

The key issue in this question is whether a general prohibition on assignment in a contract extends to the right to receive payment (i.e., the right to receive the \$ 30 , 000). In contract law , a bar on assignment typically applies to the rights or obligations of the parties , but courts often interpret such restrictions narrowly . The right to receive payment (the " right to receive funds ") is generally considered a " right to receive money " under the contract , and in many jurisdictions , such rights are not automatically barred by a general assignment restriction unless explicitly included .

In particular , courts have held that a prohibition on assignment does not necessarily extend to the right to receive money , especially if the restriction is general and not specifically directed at the right to receive proceeds . This is because the right to receive payment is often a " consequential right " that arises from the performance of the contract , and such rights are generally not subject to general assignment restrictions unless the contract explicitly states so .

Therefore , even if a contract prohibits assignment generally , the right to receive funds may be enforceable independently , especially if the restriction is not specifically worded to cover such a right .

Thus , the correct answer is one that reflects that the bar against assignment does not apply to the right to receive funds unless specifically stated .

Looking at the options :

A . No , a bar of assignment does not apply to the right to receive the funds unless specifically stated .
â This correctly reflects the legal principle .

B . Yes , unless the contract explicitly states that the bar of assignment does not apply to the right to receive funds .
â This contradicts the principle ; it would mean the bar applies by default unless explicitly excluded , which is not standard .

C . No , a bar of assignment can only be enforced if it is notarized and legally binding .
â Incorrect ; notarization is not a requirement for enforceability of assignment restrictions .

D . Yes , a bar against the right to receive proceeds is a favored restriction unless otherwise stated .
â Incorrect ; such bars are generally not favored or enforceable .

E . Yes , a contractual provision prohibiting assignments is enforceable in all respects .
â Incorrect ; this would include the right to receive funds , which is not typically enforceable under general assignment clauses .

F . Yes , a bar of assignment applies to all aspects of the contract , including the right to receive funds .
â Incorrect ; this is too broad and not supported by case law .

G . No , a bar of assignment is an unconstitutional deprivation of due process .
â Incorrect ; there is no constitutional basis for this .

H . No , a bar of assignment is unenforceable if it inhibits the completion of the contract .
â Incorrect ; this is not a recognized legal principle .

I . No , a court will not enforce the bar against assignment as it infringes upon the distributor's right to do business .
â Incorrect ; courts do not enforce assignment restrictions based on business rights .

J . Yes , a contractual provision prohibiting assignments is enforceable unless it contradicts federal law .
â Incorrect ; it doesn't address the specific issue of the right to receive funds .

Thus , the only correct answer is A .

</reasoning process>
< answer>A</answer>